

surge in earnings, or one of the many other positive fundamental signs you've learned to look for. You've found the perfect company, the nearest thing to a royal flush you'll ever encounter.

You check your assets, and there's only \$3,000 in your savings account. The rest is invested in mutual funds that The Person Who Understands the Serious Business of Money won't let you touch. You comb the house looking for heirlooms to take to the pawn shop, but the mink coat is riddled with moth holes. The silver flatware is a possibility, but since you're having a dinner party over the weekend, the spouse is certain to notice it's missing. Perhaps you could sell the cat, but it doesn't have a pedigree. The wooden sloop leaks, and nobody would pay for rusty golf clubs with bad grips.

So the \$3,000 is all you can come up with to invest in Sure Thing. It will only get you 150 shares at \$20 a share. Just as you've resigned yourself to settling for that, you remember having heard about the remarkable leverage of options. You talk to your broker, who confirms that the April \$20 call option in Sure Thing, now selling for \$1, may be worth \$15 if the stock goes to \$35. A \$3,000 investment here would give you a \$45,000 payoff.

So you buy the options, and every day you open the paper, anxiously awaiting the moment the stock begins to rise. By mid-March there's still no movement, and the options you bought for \$3,000 already have lost half their value. You're tempted to sell and get some of your money back, but you hold on because there's still a month to go before they expire worthless. A month later, that is exactly what happens.

Insult is added to injury when a few weeks after you've been out of the option, Sure Thing makes its move. Not only have you lost all your money, you've done it while being right about the stock. That's the biggest tragedy of all. You did your homework, and instead of being rewarded for it, you've been wiped out. It's an absolute waste of time, money, and talent when this happens.

Another nasty thing about options is that they are very expensive. They may not seem expensive, until you realize that you have to buy four or five sets of them to cover stock for a year. You're literally buying time here, and the more time you buy, the higher the premium you have to pay for it. There's a generous broker's commission attached to every purchase to boot. Options are the broker's gravy train. A broker with only a handful of active options clients can make a wonderful living.

The worst thing of all is that buying an option has nothing to do with owning a share of a company. When a company grows and prospers, all the shareholders benefit, but options are a zero-sum game. For every dollar that's won in the market there's a dollar that's lost, and a tiny minority does all the winning.

When you buy a share of stock, even a very risky stock, you are contributing